Nohria remembers Ratan adding, ‘This is not what I wish things would come to but I think we’ve come to the point where, at times, you just have to make a difficult decision and I think the time has come for us to part ways. It is a difficult position to have come to.’

Ratan had carried with him the resignation letter that was drafted by Parasaran. If Mistry had chosen to resign, he could have signed it. The letter merely said that he was resigning for personal reasons.

In a tone that betrayed agitation, Mistry said that he needed time to think. Ratan recalls that Mistry bluntly told him that he was not willing to take any decision at that juncture. With a definite inflection in his voice, ‘he hotly said, “No, I will not, we will go to the board and they will vote for me” … and he did not even want to look at the letter we took with us’, Ratan recalls. He was simply ‘combative,’ remarks Ratan, adding that in case Mistry had requested for some time to complete anything specific, he would have happily considered giving him that. His defiance did not surprise Ratan, even though the usual practice is for a chairman or CEO to leave with grace whenever the majority shareholder expresses displeasure or lack of confidence in him or her.

Noel Tata says that a chairman is ‘absolutely’ ‘beholden to the shareholders’. Tata Trusts is the 66 per cent shareholder of Tata Sons, and as a ‘majority shareholder, the Trusts have a right to decide whether the performance of the company is acceptable to them or not or to suggest that the company should go in a particular direction or not and represent those views through the board of Tata Sons,’ he adds. Corporate history is replete with cases where CEOs had to resign when they lost the confidence of the majority shareholders. In one prominent case, Leo Apotheker, CEO of Hewlett-Packard, was ousted in 2011 after only eleven months on the job for the fear that he would not be able to meet its sales target in 2011.

Mistry’s decision to dig in his heels for a fight looked perversely counter-intuitive. It was especially so because anyone in his place would have concluded that Ratan had come fully prepared to force the issue, with little or no possibility of him either relenting or failing. As Noel Tata remarks, Ratan has the kind of ‘resolve’ that ‘when he decides to do something, he does it’.

After the meeting was over, Ratan and Nohria left Mistry’s room. There was no exchange of pleasantries, says Nohria. Nobody attempted to shake anybody else’s hand. Mistry did not see them to the door. It was clear that